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Case Number: BC444309 Hearing Date: July 29, 2026 Dept: 1

CROSS-MOTIONS

FOR SUMMARY JUDGMENT

Cross-Movant: Defendant and Cross-Defendant HDI

Global Insurance Company (Haight Brown & Bonesteel LLP)

Cross-Movant: Plaintiff J-M Manufacturing Company

(RAF Law Group)

Ruling: J-M's motion is

GRANTED IN PART as to the meeting of the retention (Issue 1) and the existence of no other insurance (Issue 2), but DENIED as to the Fifth Cause of Action for Bad Faith (Issue 3). HDI's motion is DENIED in full.

This is a complex

insurance coverage action consisting now of only two parties: defendant and cross-defendant HDI Global Insurance Co. (HDI) and J-M Manufacturing Co., Inc. (J-M). HDI was formerly known as Gerling America Insurance Company, or Gerling. The parties have filed cross-motions on the issue of whether there is a duty to defend under an insurance policy issued by HDI (as Gerling) to J-M.

BACKGROUND

The history of the

lawsuits underlying this coverage action were succinctly summarized by Hon. John Wiley, Jr. in 2015, and remain true today:

Defendant and Cross-Complainant J-M

Manufacturing Company, Inc., is a former subsidiary of Defendant and Cross-Complainant Formosa Plastics Corporation, USA. J-M manufactures PVC pipe for use in sewer and water systems. Formosa produces plastic resin, which J-M turns into PVC pipe. Various governmental entities sued Formosa and J-M in an underlying lawsuit, *State of Nevada, et al. v. J-M Manufacturing Company, Inc., et al.*, case No. BC459943, in Department 37 of this court. The Nevada plaintiffs sought damages from Formosa and J-M for negligent misrepresentation, intentional misrepresentation, fraudulent concealment, civil conspiracy to defraud, breach of contract, breach of express warranty, breach of implied warranty of merchantability, breach of implied warranty of fitness for a particular purpose, products liability, unjust enrichment, and under New Mexico's Unfair Practices Act. The Nevada plaintiffs also intervened in another action, *United States, et al., ex rel. Hendrix v. J-M Manufacturing Company, Inc., et al.*, case No. ED CV 06-0055-GW, in the United States District Court for the Central District of California. The Hendrix action is a false claims lawsuit. In both the Nevada case and the Hendrix case, the plaintiffs alleged J-M produced PVC pipe that was weaker than it should have been, and caused ruptures and failures in sewer and water systems. The Nevada action has been stayed since June 21, 2011. Meanwhile, the parties actively litigated the Hendrix action. Formosa recently reached a global settlement of both the Hendrix and Nevada actions [i.e. in 2015].

(Court's January
8, 2015 Order.)

The remaining
disputes in this litigation revolve around a commercial general liability insurance policy (the Policy) with policy number 4001911 issued by HDI (as Gerling) and naming J-M as an insured via endorsement by Formosa Plastics Corporation. (UF #1). The Policy states that for commercial general liability, the Insured is "Self-Insured" with a Self-Insured Retention (SIR) of \$1 million. (UF #2). Under "Conditions", the Policy states:

"If Other Insurance applies to
claims covered by this policy, the insurance under this policy is excess and We will not make any payments until the Other Insurance has been used up. This will not be true, however, if the Other Insurance is specifically written to be excess over this policy."

(UF #8) (emphasis added).

Under

“Definitions”, the Policy defines “other insurance” as “[i]nsurance other than Scheduled Underlying Insurance or Insurance specifically purchased to be excess of this policy affording coverage that this policy also affords.” (UF #9).

On March 17,

2010, J-M requested HDI to defend and indemnify as to the Hendrix Action, for which HDI denied coverage. (UF #10-11). On three separate occasions in July 2010, J-M requested that HDI reconsider its coverage position given some complaints-in-intervention filed on June 29, 2010, in the Hendrix Action including, among others, common law causes of action for strict liability for defective products and negligent misrepresentation. (UF #12). HDI continued to refuse coverage for these claims. (UF #13). The Hendrix Action’s state common law claims were separately brought in the Los Angeles Superior Court in the Nevada Action. (UF #21).

On January 30, 2014, this Court issued an order on J-M’s and Gerling’s cross-motions for summary adjudication containing the following pertinent holdings:

B

Summary of logic

J-M and Formosa bought policy number 4 001 911 from Gerling. In this commercial umbrella insurance policy, Coverage A is the pertinent coverage. It is subject to a \$1 million self-insured retention that J-M and Formosa have yet to show they have exhausted. Gerling’s policy with J-M and Formosa excludes the duty to defend until J-M and Formosa exhaust their \$1 million self-insured retention. Gerling thus has no present duty to defend J-M and Formosa in the Nevada suit, but this duty will begin once J-M and/or Formosa demonstrate they have spent \$1 million on the Nevada defense and there is no other insurance.

[¶...¶]

F

Gerling has a potential -- but no present -- duty to defend Formosa and J-M Gerling has the duty under Coverage A to defend the Nevada suit once J-M and Formosa have demonstrated they have satisfied two requirements that the policy imposes. First, J-M and Formosa must prove they have spent \$1 million on the Nevada defense. (See Declaration of Jim Clark in Support of HDI-Gerling America Insurance Company's Motion for Summary Adjudication, Exhibit A, pp. HDI-POL 00058, 00059, 00060, & 00062-00063.) Second, J-M and Formosa must show no other insurance is available to fund this defense. (See Declaration of Jim Clark in Support of HDI-Gerling America Insurance Company's Motion for Summary Adjudication, Exhibit A, p. HDI-POL 00063.)

[¶...¶]

Once Formosa and J-M have shown (1) \$1 million in Nevada defense payments and (2) no other insurance applies, then Gerling must assume the defense of the Nevada property damage claims.

G

Formosa and J-M have not yet demonstrated they have satisfied the two requirements

Formosa and J-M bear the burden of defense until they demonstrate they have spent \$1 million defending the Nevada action and that no other insurance is available. Gerling is the excess insurer. "When a dispute arises over exhaustion of policy limits, a primary insurer must defend until it obtains a declaratory judgment or summary judgment that it has exhausted its policy limits." (Hartford Accident & Indemnity Co. v. Superior Court (1994) 23 Cal.App.4th 1774, 1781 (Chin, J).) So far, Formosa and J-M have not demonstrated they have spent \$1 million defending the Nevada action and that no other insurance is available. Formosa has not filed any motion and has not offered any evidence on this issue. J-M did file a motion, but not on this issue. Tardily, J-M offered the declaration of its general counsel Camilla M. Eng, but (assuming away procedural problems for purposes of analysis) the substance of this declaration is insufficient. There are two relevant lawsuits here: Nevada and Hendrix. Eng artfully crafted her declaration to address them both. What is needed, however, is timely evidence that J-M and Formosa have spent \$1 million defending the Nevada suit in particular. Eng's cancelled checks do not clarify this point. Eng's declaration thus falls short.

On the issue of other insurance, J-M offers but footnote two on page five of its reply brief, which claims the excess insurer has the burden of negating the requirements that the primary insurer must establish to gain access to excess coverage. J-M offers no authority for this argument, which is contrary to law. (See, e.g., *Hartford Accident & Indemnity Co. v. Superior Court*, supra, 23 Cal.App.4th 1774, 1781 (primary insurer's duty to defend continues until the primary insurer proves otherwise) (Chin, J.).)

(JMM's Exhibit L1, pp. 5-7.)

LEGAL

STANDARDS

The function of a motion for summary judgment or adjudication is to allow a determination as to whether an opposing party cannot show evidentiary support for a pleading or claim and to enable an order of summary dismissal without the need for trial. (*Aguilar v. Atlantic Richfield Co.* (2001) 25 Cal.4th 826, 843 (Aguilar).) "A party may move for summary adjudication as to one or more causes of action within an action, one or more affirmative defenses, one or more claims for damages, or one or more issues of duty, if the party contends that the cause of action has no merit, that there is no affirmative defense to the cause of action, that there is no merit to an affirmative defense as to any cause of action, that there is no merit to a claim for damages, as specified in Section 3294 of the Civil Code, or that one or more defendants either owed or did not owe a duty to the plaintiff or plaintiffs." (Code Civ. Proc. § 437c(f)(1).)

"A plaintiff or cross-complainant has met his or her burden of showing that there is no defense to a cause of action if that party has proved each element of the cause of action entitling the party to judgment on the cause of action. Once the plaintiff or cross-complainant has met that burden, the burden shifts to the defendant or cross-defendant to show that a triable issue of one or more material facts exists as to the cause of action or a defense thereto. The defendant or cross-defendant shall not rely upon the allegations or denials of its pleadings to show that a triable issue of material fact exists but, instead, shall set forth the specific facts showing that a triable issue of material fact exists as to the cause of action or a defense thereto." (Code Civ. Proc. § 437c(p)(1).) "A defendant or cross-defendant has met his

or her burden of showing that a cause of action has no merit if the party has shown that one or more elements of the cause of action, even if not separately pleaded, cannot be established, or that there is a complete defense to the cause of action. Once the defendant or cross-defendant has met that burden, the burden shifts to the plaintiff or cross-complainant to show that a triable issue of one or more material facts exists as to the cause of action or a defense thereto. The plaintiff or cross-complainant shall not rely upon the allegations or denials of its pleadings to show that a triable issue of material fact exists but, instead, shall set forth the specific facts showing that a triable issue of material fact exists as to the cause of action or a defense thereto.” (Code Civ. Proc. § 437c(p)(2).)

Section 437c(c) “requires the trial judge to grant summary judgment if all the evidence submitted, and ‘all inferences reasonably deducible from the evidence’ and uncontradicted by other inferences or evidence, show that there is no triable issue as to any material fact and that the moving party is entitled to judgment as a matter of law.” (Adler v. Manor Healthcare Corp. (1992) 7 Cal.App.4th 1110, 1119.) “The function of the pleadings in a motion for summary judgment is to delimit the scope of the issues; the function of the affidavits or declarations is to disclose whether there is any triable issue of fact within the issues delimited by the pleadings.” (Juge v. County of Sacramento (1993) 12 Cal.App.4th 59, 67, citing FPI Development, Inc. v. Nakashima (1991) 231 Cal.App.3d 367, 381-382.)

Courts “liberally construe the evidence in support of the party opposing summary judgment and resolve doubts concerning the evidence in favor of that party.” (Dore v. Arnold Worldwide, Inc. (2006) 39 Cal.4th 384, 389.) To establish a triable issue of material fact, the party opposing the motion must produce substantial responsive evidence. (Sangster v. Paetkau (1998) 68 Cal.App.4th 151, 166.) “Supporting and opposing affidavits or declarations shall be made by a person on personal knowledge, shall set forth admissible evidence, and shall show affirmatively that the affiant is competent to testify to the matters stated in the affidavits or declarations.” (Code Civ. Proc. § 437c(d).) “A court generally cannot resolve questions about a declarant’s credibility in a summary judgment proceeding ...unless admissions against interest have been made which justify disregard of any dissimulation.” (AARTS Productions, Inc. v. Crocker National Bank (1986) 179 Cal.App.3d 1061, 1065 (AARTS Productions).)

REQUESTS
FOR JUDICIAL NOTICE

In both its affirmative motion and in support of its opposition to HDI's motion, J-M requests judicial notice of 13 documents from the Hendrix action and 5 documents from the Nevada action (requests 1-18). Those documents are subject to judicial notice under Evid. Code § 452(d) and the requests are GRANTED. In support of its opposition only, it also requests judicial notice of this Court's January 8, 2015 ruling. This is also a court record, and the request is GRANTED. Finally, in support of the opposition only, J-M requests judicial notice of 12 of its own filings in support of its affirmative motion for summary adjudication. Judicial notice of these documents is unnecessary and would confuse the record, and the request is DENIED.

In support of both its motion and opposition, HDI requests judicial notice of the following matters:

1. On April 19, 2011, the initial complaint was filed in the case of The State of Nevada, et al. v. J-M Manufacturing Co., Inc., et al., bearing State of California, County of Los Angeles Superior Court case no. BC 459943 ("State of Nevada"). This is not reasonably subject to dispute and capable of immediate and accurate determination by resort to the complaint, and so is subject to judicial notice under Evid. Code § 452(h). The request is GRANTED.

2. On August 18, 2011, the Court in the State of Nevada action issued an order staying the case. This is not reasonably subject to dispute and capable of immediate and accurate determination by resort to the Court's order, and so is subject to judicial notice under Evid. Code § 452(h). The request is GRANTED.

3. The State of Nevada action remained stayed until it was dismissed in its entirety in May 2021. This is not a matter

subject to judicial notice. While the Court may infer in the absence of contrary evidence that the stay continued until dismissal, it cannot judicially notice that fact. The request is DENIED.

DISCUSSION

As the parties recognize in their cross-motions on coverage issues, there are two issues left for adjudication here: (1) whether J-M can show \$1 million in payments for defense of the Nevada action, and (2) whether no other insurance applies. J-M also moves for summary adjudication of its Fifth Cause of Action for Breach of the Covenant of Good Faith and Fair Dealing (i.e., Bad Faith). The Court will address J-M's motion first.

I.

J-M MOTION

The Court must note a preliminary matter. J-M requests “judgment as a matter of law” on the issues that “[t]he Self-Insured Retention of Gerling Policy No. 4001911 of \$1 million has been met” and “[t]here is no other insurance applicable to Gerling Policy No. 4001911[.]” as well as summary adjudication of the Fifth Cause of Action for Breach of the Implied Covenant. Code Civ. Proc. § 437c(f)(1) permits summary adjudication only as to “one or more causes of action within an action, one or more affirmative defenses, one or more claims for damages, or one or more issues of duty[.]” This Court has previously ruled that to show a duty by HDI to defend the Nevada Action, J-M must show exhaustion of the retention and that no other insurance exists. (See JMM's Exhibit L1, pp. 5-7.) These two issues are therefore really one collective issue, the issue of the duty to defend the Nevada Action. If either one fails, J-M cannot obtain summary adjudication, as the Court has held both must be shown to trigger a duty to defend.

a. Exhaustion of Self-Insured Retention

The Court has already held, in its January 30, 2014 order, that J-M's defense costs may be aggregated with Formosa's costs to satisfy the \$1 million retention. (Plaintiff's Ex. L1, p. 7.)

In early 2015,

National Union Fire Insurance Company of Pittsburgh, Pa. (National Union) and other insurers moved for summary judgment or summary adjudication on Formosa's claims for defense or indemnity as to the Nevada action. As is the case with HDI's policy with J-M, the Court had already ruled that National Union had no duty to defend Formosa in the Hendrix Action "because liability for false claims is necessarily liability for intentional conduct."

(J-M's Ex. P [January 8, 2015 Order], p. 1.) In denying National Union's motion as to Formosa, the Court held as follows:

National Union correctly points out that Formosa did not actively litigate the Nevada action, which was stayed pending the Hendrix action. It does not necessarily follow that, as a matter of law, none of the expenses Formosa incurred in defending the Hendrix action were reasonable and necessary costs of defending the Nevada action. In fact, the global settlement Formosa reached suggests Formosa's defense of the Hendrix action led to its settlement of the Nevada action. Formosa may have reasonably and necessarily incurred some of the defense costs in Hendrix for the defense of Nevada, even if those costs also benefitted Formosa's defense of the Hendrix action. National Union bears the burden to demonstrate that none of Formosa's expenses in the Hendrix action were reasonably and necessarily incurred in the Nevada action. It has not met this burden. As National Union has failed to support its position, it has not shifted the burden to Formosa to raise a triable issue of fact.

(Id., p.

2.) J-M contends that the same principle holds true here, that Formosa may have reasonably and necessarily incurred defense costs in the Hendrix Action for the defense of the Nevada Action, even if those costs may have also benefitted Formosa's defense of the Hendrix Action. HDI does not dispute this possibility.

To shift the burden, J-M first points to the undisputed fact that HDI entered into a settlement with Formosa of this coverage action, which it contends "is recognition that the \$1 million retention was met." Although the settlement is confidential, the Court can observe that it contains a standard no-admission clause, meaning that HDI did not recognize the retention was met when it opted to settle the case,

and it is not logical to infer that the retention was met just because HDI settled the case. It is equally likely that HDI settled with Formosa because the cost of settling was less than the cost of proving that the retention had not been met. Given that doubts in the evidence are resolved against the movant (*Dore v. Arnold Worldwide, Inc.*, supra, 39 Cal.4th at 389), J-M cannot shift the burden on its motion with the mere fact that HDI settled with Formosa.

Next, J-M contends that it has independently satisfied the retention. First, it notes that in the 2015 order on National Union's MSA (made about a year after the 2014 order denying the previous set of cross-motions), the Court recognized that costs incurred with respect to the Hendrix Action could apply to the defense of the Nevada Action. HDI does not respond to this point directly but cites the language in the Court's 2014 order that "[w]hat is needed...is timely evidence that J-M and Formosa have spent \$1 million defending the Nevada suit in particular." Defendant contends that J-M's burden is "to specifically identify \$1 million in fees incurred and paid only in the State of Nevada action[.]" This is an overreading of the Court's 2014 order, particularly in light of the Court's 2015 order on the National Union MSA. The harmonious reading of the Court's prior orders is that J-M must show it has spent \$1 million or more on defending the Nevada Action, but may do so by showing that certain costs incurred in the Hendrix Action were for also for the defense of the Nevada Action (as the Court allowed could be the case as to National Union).

In support of the prior motion, J-M submitted a declaration of its general counsel Camilla M. Eng who declared:

8. JM has paid well over \$1 million in attorneys fees and costs in defending against the allegations that JM manufactured and sold a defective product to any of the intervening states, cities, and counties identified in the Nevada action. Attached hereto as Exhibit A are true and correct copies of some of JM's redacted cancelled checks that demonstrate that JM has incurred attorneys fees and costs that exceed \$1 million.

(J-M's Ex. L, p.

3.) Attached to the declaration were approximately two dozen checks from J-M to Bird Marella LLP. (*Id.*, pp. 5-28.) In its 2014 ruling, the Court rejected the

force of this declaration, holding “the substance of this declaration is insufficient. There are two relevant lawsuits here: Nevada and Hendrix. Eng artfully crafted her declaration to address them both. What is needed, however, is timely evidence that J-M and Formosa have spent \$1 million defending the Nevada suit in particular. Eng's cancelled checks do not clarify this point. Eng's declaration thus falls short.” (J-M's Ex. L1, p. 5.)

This time around, J-M has presented a lengthy declaration from Paul S. Chan of Bird Marella. In it, Mr. Chan declares the following:

46. As lead trial counsel, I reviewed the attorney billing statements from my firm (Bird Marella) that were sent to JM for payment for the defense of the Actions. From September 2011 to December 2025, no less than \$27.2 million for defense costs were billed to JM from my firm. The amount that JM paid was no less than \$23.9 million. In addition, after the Phase One trial, JM also retained another experienced trial lawyer who worked at various law firms who was closely involved in all aspects of the Hendrix Action.

47. My firm had two billing matter numbers for the Hendrix Action and the Nevada Action (3858-2 and 3858-4) that were generated by my firm's accounting system. Most of the substantive work for both of these matters was billed to the 3858-2 matter which included substantive work related to both Actions and some work unique to the Hendrix Action. Most of the procedural court appearances and work that was solely related to the Nevada Action was billed to the 3858-4 matter. As a general rule, my firm infrequently billed to the 3858-4 matter after August 1, 2011, unless something unique such as a procedural court appearance relating solely to the Nevada Action was required.

48. Based on my experience, knowledge, and role in both Actions, I identified and categorized the defense costs billed to the 3858-2 and 3858-4 matters that were reasonable and necessary costs incurred to minimize or avoid liability in the Nevada Action. I requested that the accounting department at my firm generate excel spreadsheets from the defense costs contained in the billing statements. The excel spreadsheets include, but not limited to, the following information: billable employee name, billable hours, billable dollars, transaction description, transaction date, and billing date.

49. Based on my review of the excel spreadsheets in conjunction with the

attorney billing statements sent to JM, after April 2011, more than \$10 million in fees and costs were incurred in the Hendrix Action that were reasonable and necessary costs incurred to minimize or avoid liability in the Nevada Action.

50. As a preliminary matter, I believe that at least 95% of the total defense costs incurred in the Hendrix and Nevada Actions were reasonable and necessary costs incurred to minimize or avoid liability in the Nevada Case. The Hendrix Plaintiffs originally sought \$2 billion in damages. Exemplar Plaintiffs in the Hendrix Action alone originally sought \$59.4 million in damages and recovered zero damages. In addition, Exemplar Plaintiffs in the Hendrix Action originally sought \$27 million in statutory penalties and were awarded \$162,000.00. This outcome ultimately resulted in a settlement of the Hendrix Action with the release extending to the state law claims in the Nevada Action. If the outcome in the Hendrix Action had been any different, Plaintiffs in the Nevada Action would have resumed litigation to pursue their state law claims.

51. Taking a more narrow and conservative approach and eliminating defense costs for procedural matters in the Hendrix Action, work related to attorneys' fees and penalties, case strategy and analysis, and additional expenses solely related to the Hendrix Action, no less than 79% of the defense costs incurred in the Hendrix and Nevada Actions served to minimize or avoid liability in the Nevada Case. I calculated this number by directing the categorizing and itemizing of defense costs into the following categories: (1) Nevada Action procedural and logistical work; (2) evidence that relates to the quality of JM pipe; (3) document file management, review and analysis; (4) depositions; (5) written discovery; (6) expert work; (7) witness work; (8) Phase One trial; (9) Phase Two trial; (10) additional defense costs; and (11) certain appeal defense costs that related to the Phase One liability verdict in favor of Plaintiffs, and Plaintiffs' appeal of the JMOL in favor of JM in the Phase Two damages phase.

52. Most of the defense costs would fall into two or more categories. For example, discovery work that is about the quality of JM pipe could potentially fall into at least two categories: (1) discovery; and (2) evidence that relates to the quality of JM pipe. Even though this work could potentially fall into at least two categories, the defense costs related to the quality of JM pipe that was done as a part of discovery are only allocated to one category. In other words, each transaction description is only allocated to one category and not

counted twice.

(Chan Decl., ¶¶ 46-51.)

Interpreted as narrowly as possible, Mr. Chan declares that Bird Marella invoiced \$27.2 million to J-M, which paid no less than \$23.9 million in total for defense of both the Hendrix and Nevada Actions. He declares that between \$10 million and \$18,881,000 (79% of the \$23.9 million J-M paid) was incurred on issues to minimize or avoid liability in the Nevada Action.

HDI's response to Mr. Chan's declaration is to argue that it does not attach any invoices from Bird Marella, does not state the amount of fees billed to the Hendrix action (while contending, in the sealed portion of the brief, that the State of Nevada billings alone do not reach the retention on their own), and that J-M's prior discovery responses were factually devoid.

There are no objections to the admissibility of Mr. Chan's testimony. J-M is a plaintiff as to HDI, and its burden on this issue is to "present evidence that would require a reasonable trier of fact to find any underlying material fact more likely than not[.]" (Aguilar, supra, 25 Cal.4th at 851.) Mr. Chan's testimony that J-M incurred well over \$1 million in defense fees attributable to the defense of the Nevada Action meets that standard. The fact that Mr. Chan's testimony is not as specific or documented as it could be (because it does not present invoices or state the precise amount of fees from the Hendrix Action) does not cause it to fall short of the preponderance standard, and HDI has not made any valid objection that would prevent a trier of fact from considering it. The fact that the billings on the Nevada Action file number standing alone do not meet the necessary retention level is irrelevant for the reasons stated above, as J-M may meet the retention by showing (as it has) that substantial billings in the Hendrix Action were for the defense of the Nevada Action, even if they also benefited the Hendrix Action.

HDI's reliance on J-M's purportedly factually devoid discovery responses is likewise unavailing. While a defendant

moving for summary adjudication may present the factually devoid responses of the plaintiff in order to carry their burden to show there is “no evidence in support of a cause of action” (see *Union Bank v. Superior Court* (1995) 31 Cal.App.4th 573, 590), the Court is aware of no authority providing that a nonmovant may rebut the movant’s showing with such responses. Even in defense-filed motions, devoid responses do not necessarily carry the movant’s burden. “Circumstantial evidence supporting a defendant’s summary judgment motion ‘can consist of “factually devoid” discovery responses from which an absence of evidence can be inferred,’ but ‘the burden should not shift without stringent review of the direct, circumstantial and inferential evidence.’” (*Andrews v. Foster Wheeler LLC* (2006) 138 Cal. App. 4th 96, 101 [Citation omitted].) Indeed, the production of insubstantial or empty discovery responses will not support a defendant’s showing on a motion for summary judgment unless the responses demonstrate that the “plaintiffs neither possess, nor reasonably can obtain, any evidence” about the factual matter at issue. (*Weber v. John Crane, Inc.* (2006) 143 Cal.App.4th 1433, 1439, 1442 [asbestos plaintiff’s inability to recall whether he had worked around the defendant’s product over 40 years prior did not support an “inference either of nonexposure or of the inability to prove exposure by some other means.”])

Even more to the point, the J-M discovery responses that HDI relies on are not “factually devoid” of the information that was sought. HDI asked J-M to identify its lawyers in the Hendrix and Nevada case and to state the total amount of legal costs incurred in each case. In response, J-M elected – apparently without objection from HDI – to simply produce the billing records that were submitted to J-M for the work done in defense of those cases. (HDI Opp., pp. 12-13.) While J-M’s production of these documents may not be fully responsive to the discovery questions asked by HDI, the fact that J-M produced these billing records does not demonstrate, as HDI suggests, that J-M did not possess any evidence to prove it expended \$1 million in attorneys’ fees and costs in defense of the Nevada action, much less that it “could not reasonably obtain” any such evidence. Indeed, the billing records analysis offered by Mr. Chan provides admissible testimony about what portions of the Hendricks attorneys’ fees were devoted to defending against the claims asserted in the Nevada action, thus demonstrating that J-M plainly possesses relevant evidence to demonstrate this predicate for HDI’s duty to defend.

J-M has met its initial burden to show that it has spent at least \$1 million in defense of the Nevada Action. That shifts the burden to HDI to show a

genuine dispute of material fact. HDI relies entirely on its arguments already discussed, which do not create a triable issue of fact. Although it may be that Bird Marella billed J-M an amount less than \$1 million under the matter number assigned to the Nevada Action, that is not the end of the inquiry regarding exhaustion of the retention, given that the Court has held that fees spent in the Hendrix Action may nonetheless be shown to be for the defense of the Nevada Action. The Court will therefore move to the next issue.

b.
Existence
of “Other Insurance”

The Policy provides:

10. If Other Insurance applies to claims covered by this policy, the insurance under this policy is excess and We will not make any payments until the Other Insurance has been used up.

This will not be true, however, if the Other Insurance is specifically written to be excess over this policy.

(J-M Ex. A, p. 6, ¶ 10.)

“Other Insurance” is defined as follows:

12. OTHER INSURANCE

Means:

Insurance other than Scheduled Underlying Insurance or insurance specifically purchased to be excess of this policy affording coverage that this policy also affords.

(J-M Ex. A, p. 8, ¶ 12.)

Although HDI devotes much effort to the argument that the Policy is an excess policy, that point is not disputed. (See Reply, p. 6.) The Court has already held in its 2014 order that J-M’s task is to show that no “Other Insurance” exists. J-M presents the declaration of its general

counsel, Frank Fletcher, who declares that J-M maintains copies of all insurance policies issued to it and that “[b]ased on JM’s files and record maintenance practices, it is evident there is no other primary commercial general liability for the period July 1, 1996 to July 1, 1997.”

(Fletcher Decl., ¶ 4.) Mr.

Fletcher also declares that National Union, New Hampshire Ins. Co., and Lexington Ins. Co. did not insure J-M during the July 1, 1996 to July 1, 1997 policy period. (Id., ¶ 5.)

HDI’s only response to the Fletcher declaration

is to state that “[t]his Court already concluded that J-M must satisfy the \$1 million self-insured retention of the HDI policy, and that the HDI policy operates as an ‘excess’ policy with respect to the self-insured retention which was deemed primary insurance.” (See

HDI’s Response to UF #7.) This

assertion, while true, does not dispute the fact that “[t]here is no evidence of primary commercial general liability insurance for the policy period of July 1, 1996 to July 1, 1997, other than the Gerling Policy[.]” a fact which fulfills J-M’s initial burden to show there is no “Other Insurance.” The burden therefore shifts to HDI to show a genuine dispute of material fact as to the existence of “Other Insurance.”

HDI first cites J-M’s responses to requests for production provided in March of this year.

Pertinently, the request and response provide:

DEMAND FOR PRODUCTION NO. 18

All DOCUMENTS which YOU contend demonstrate the exhaustion of all policies of insurance issued to YOU which provided coverage for the NEVADA ACTION (save for the HDI policy of insurance bearing policy number 4 001 911, effective 7/1/1996 – 7/1/1997).

...

SUPPLEMENTAL

RESPONSE TO DEMAND FOR PRODUCTION NO. 18

Responding Party incorporates the preliminary statement, general objections, and the objections to its Response to Demand For Production No. 17 as though fully set forth herein. There are no insurance

companies that issued policies that acknowledged a duty to defend in the Hendrix Action. For commercial general liability, the HDI insurance policy number 4 001 911, is written as excess to a Self-Insured Retention. As a matter of law, Self-Insured Retentions are not primary insurance and the principle of horizontal exhaustion does not apply. *Montgomery Ward & Co. v. Imperial Casualty & Indem. Co.* (2000), 81 Cal.App.4th 356, 364; *State of California v. Continental Ins. Co.* (2017) 15 Cal. App. 5th 1017, 1036; see also *Montrose Chemical Corp. of California v. Superior Court* (2020) 9 Cal. 5th 215 (Montrose III) and *Truck Ins. Exchange v. Kaiser Cement & Gypsum Corp.* (2024) 16 Cal.5th 67. As such, there is no exhaustion of any other insurance policy(ies) nor is it relevant to this case. Without waiving said objections and based on that understanding, Responding Party responds: there are no responsive documents in Responding Party's possession, custody, or control.

(HDI Ex. 8, pp. 3-4.) This response does not create a triable issue of fact as to whether "Other Insurance" exists which has not been exhausted. If no other insurance existed offering coverage for the Nevada Action during the policy period of the Policy, then there would be no documents demonstrating any exhaustion of that insurance. The fact that J-M contended that the retention was not primary insurance and need not have been exhausted is argument, not evidence, and does not refute or undermine the evidence cited above from Mr. Fletcher that there is no "Other Insurance" applicable.

The same must be said of HDI's reliance on J-M's interrogatory responses to the effect that no insurance company has paid any money on J-M's behalf to its attorneys in the Nevada Action. (HDI Opp., p. 16.) Again, the absence of any insurance payments to cover defense costs in the Nevada Action is fully consistent with Mr. Fletcher's sworn statements that no other insurance policies cover the relevant policy period. HDI's reliance on these J-M discovery answers does not create a triable issue of material fact about that issue.

Amid immaterial arguments concerning whether the retention is primary insurance (it has been met regardless) and whether the Policy is excess (it is, as the Court has found, regardless of what J-M may have said in discovery), HDI seemingly suggests that the "AIG Insurers," that is, National Union, New Hampshire, and Lexington, ought to be considered primary insurers with respect to the Policy. However, it is undisputed that HDI's Policy is the only one applicable

to its policy period; that is, the AIG Insurers' policies are not for this policy period. They are therefore irrelevant.

In *Montrose Chemical Corp. of California v.*

Superior Court (2020) 9 Cal.5th 215 (*Montrose III*), the

defendant was sued for causing continuous environmental damage over a 35-year period, for which it had several primary and excess policies in effect, including excess policies upon excess policies.

(*Id.* at 221-222.) The

excess policies had "other insurance" clauses providing, "in a variety of ways, that each policy shall be excess to other insurance available to the insured, whether or not the other insurance is specifically listed in the policy's schedule of underlying insurance." (*Id.*

at 230.) The insurers urged a rule

of "horizontal exhaustion," whereby there could be no payment from an excess policy "until the insured has exhausted all other available insurance—which, in

a case of long-tail injury, means every policy with a lower attachment point

from every policy period triggered by the continuous injury." (*Ibid.*) While recognizing the policy language in

question could be read in such a way, the California Supreme Court nonetheless

held to a rule of "vertical exhaustion," that is, that "in the absence of any

more persuasive indication that the parties intended otherwise, the policies

are most naturally read to mean that Montrose may access its excess

insurance whenever it has exhausted the other directly underlying excess

insurance policies that were purchased for the same policy period." (*Id.* at 234.)

Truck Insurance Exchange v. Kaiser Cement &

Gypsum Corp. (2024) 16 Cal.5th

67 (*Truck*) followed *Montrose III*, addressing a question that case

did not resolve. Rather than *Montrose*

III's cascade of excess policies stacked atop primary policies, *Truck* involved

a series of primary policies covered by single excess policies. (*Id.* at 75.) The plaintiff, a primary insurer, sued excess

insurers for contribution, alleging that the excess insurance coverage had been

triggered immediately upon the exhaustion of the primary insurance underlying

the excess policies, requiring the excess insurers to contribute to the

loss. (*Ibid.*) The California Supreme Court agreed, applying

the *Montrose III* rule of vertical exhaustion:

In sum, we believe that the language of the first-level excess policies,

when considered in conjunction with the insured's reasonable expectations and

the historical role of "other insurance" provisions, is most naturally read to

mean that the insured may access the policies upon exhaustion of the directly underlying policies that were purchased for the same period. Excess insurers do, however, remain free to write their future excess policies in a manner that expressly requires horizontal exhaustion.

(Id. at 98.)

HDI contends that this Court previously ordered that J-M “must demonstrate exhaustion of all other available primary insurance[.]” (HDI Opp., p. 19.) It is unclear what HDI is relying on, as the Court’s 2014 order provided no such thing, only that J-M must exhaust “other insurance,” the definition of which is governed by Montrose III and Truck.

HDI argues that this case is distinct from Truck and Montrose because the text of the Policy defines “Other Insurance” as “[i]nsurance other than Scheduled Underlying Insurance or Insurance specifically purchased to be excess of this policy, affording coverage that this policy also affords.” However, HDI does not explain how this is materially different from the Truck or Montrose III situations. Montrose III expressly dealt with policies that were excess to other insurance “whether or not the other insurance is specifically listed in the policy’s schedule of underlying insurance.” (Montrose III, *supra*, 9 Cal.5th at 230.) The same was true in Truck. (See Truck, *supra*, 16 Cal.5th at 92-93 [other insurance provisions at bar were “substantially identical” to the Montrose III clauses, “each providing in various ways that the excess policy shall be excess to the underlying primary policy identified in the schedule of underlying insurance along with any ‘other insurance’ or ‘other underlying insurance’ available to the insured. As in Montrose III, none of the provisions explicitly reference ‘other insurance’ purchased for different policy periods.”]) HDI’s attempt to distinguish Truck as a contribution case rather than a coverage case is unavailing. There can be no contribution between insurers without coverage, and coverage was central to both Truck and Montrose III.

Peerless Casualty Co. v. Continental Casualty

Co. (1956) 144 Cal.App.2d 617,
is not to the contrary. That case
involved an injury caused by an insured tractor-trailer, on which the lessee of
the vehicle had primary insurance, while the lessor had a primary policy that
provided it would be excess to “other insurance,” as well as two express excess
policies. (Id. at 618-619.) There was no question that the primary
policies existed and both applied to the same policy period as the excess
insurance. Here, on the other hand, it
is materially undisputed that the self-insured retention is the only primary
insurance applicable to the policy period of the HDI Policy. Peerless does not suggest a different
result for these motions.

In sum, Montrose III and Truck provide
that “other insurance” clauses are to be construed to refer to other insurance
applicable to the same policy period, i.e. vertical exhaustion, absent evidence
of a contrary intent. (Montrose III,
supra, 9 Cal.5th at 234; Truck, supra, 16 Cal.5th
at 98.) Here, J-M has shown there is no other
insurance but the retention existed for the pertinent policy period, and that the
retention has been exhausted. That
shifts the burden to HDI to show a genuine dispute of material fact as to the
existence of “other insurance.” HDI has
not done so. Summary adjudication in J-M's
favor of the issue of a duty to defend the Nevada Action is therefore appropriate.

c.
Bad
Faith

J-M contends that because it has established that
it exhausted the self-insured retention and has shown no other insurance
exists, the Court necessarily must enter judgment in its favor as to the Fifth
Cause of Action for Breach of the Implied Covenant of Good Faith and Fair
Dealing (i.e. Bad Faith). A bad faith
claim “implies unfair dealing rather than mistaken judgment[.]” (Careau & Co. v. Security Pacific
Credit, Inc. (1990) 222 Cal.App.3d 1371, 1394 (Careau), quoting
Congleton v. National Union Fire Ins. Co. (1987) 189 Cal.App.3d 51, 59.) “[A]llegations which assert such a claim must
show that the conduct of the defendant, whether or not it also constitutes a
breach of a consensual contract term, demonstrates a failure or refusal to
discharge contractual responsibilities, prompted not by an honest mistake,

bad judgment or negligence but rather by a conscious and deliberate act, which unfairly frustrates the agreed common purposes and disappoints the reasonable expectations of the other party thereby depriving that party of the benefits of the agreement. Just what conduct will meet this criteria must be determined on a case by case basis and will depend on the contractual purposes and reasonably justified expectations of the parties." (Careau, supra, 222 Cal.App.3d at 1395.)

Damages are an element of a claim for breach of the implied covenant of good faith and fair dealing. (See CACI 325; CACI 2336.) A plaintiff moving for summary adjudication of a cause of action for which damages are an element must show "both the fact and the amount of damages." (Pajaro Valley Water Management Agency v. McGrath (2005) 128 Cal.App.4th 1093, 1106; see also Paramount Petroleum Corp. (2014) 227 Cal.App.4th 226, 241 (Paramount) ["a plaintiff cannot obtain judgment on a breach of contract cause of action in an amount of damages to be determined later"].) J-M does not address the amount of damages attributable to HDI's failure to defend the Nevada Action, and even if it did, there are inconsistencies apparent in the evidence J-M has submitted. Mr. Chan, J-M's counsel in the Nevada Action, declares the following:

46. As lead trial counsel, I reviewed the attorney billing statements from my firm (Bird Marella) that were sent to JM for payment for the defense of the Actions. From September 2011 to December 2025, no less than \$27.2 million for defense costs were billed to JM from my firm. The amount that JM paid was no less than \$23.9 million.

[¶...¶]

49. Based on my review of the excel spreadsheets in conjunction with the attorney billing statements sent to JM, after April 2011, more than \$10 million in fees and costs were incurred in the Hendrix Action that were reasonable and necessary costs incurred to minimize or avoid liability in the Nevada Action.

50. As a preliminary matter, I believe that at least 95% of the total defense costs incurred in the Hendrix and Nevada Actions were reasonable and necessary costs incurred to minimize or avoid liability in the Nevada Case. ...

51. Taking a more narrow and conservative approach and eliminating defense costs

for procedural matters in the Hendrix Action, work related to attorneys' fees and penalties, case strategy and analysis, and additional expenses solely related to the Hendrix Action, no less than 79% of the defense costs incurred in the Hendrix and Nevada Actions served to minimize or avoid liability in the Nevada Case.

(Chan Decl., ¶¶ 46-51, emphasis added.)

As discussed above, any of these amounts (more than \$10 million, 95% or 79% of \$27.2 million or 95% or 79% of \$23.9 million) is sufficient to compel the conclusion that J-M met the \$1 million self-insured retention. However, not one of them is specific enough to prove a certain amount of damages, and the existence of at least five different calculations of the exact amount J-M spent to defend the Nevada Action makes it impossible for it to meet its initial burden as to the damages element. (See *Paramount*, supra, 227 Cal.App.4th at 241.) The Court will therefore deny the motion as to bad faith.

II.

HDI

MOTION

HDI's motion requests summary judgment, as well as summary adjudication of nine issues, including three issues of duty and six causes of action. All are premised on two issues which are a mirror of J-M's motion: whether J-M can meet its burden to show it exhausted the \$1 million self-insured retention, and whether J-M can show that all "other insurance" has been exhausted within the meaning of the Policy. As set forth above, J-M has not only met its burden to show it exhausted the \$1 million self-insured retention and that all "other insurance" has been exhausted, but there is no genuine dispute of material fact as to those matters, and J-M is entitled to summary adjudication of those issues as a matter of law. Even if HDI could carry its initial burden on its motion as to each issue, the factual showings by J-M are not only sufficient to create a dispute of material fact in opposition to HDI's motion, they are also enough to require summary adjudication in J-M's favor. HDI is therefore not entitled to summary adjudication of any of the issues it raises, nor to summary judgment.

III.

MOTION

TO SEAL

J-M moves to seal

1) information concerning the settlement between HDI and Formosa (with whom J-M is in privity); and 2) information obtained from attorney billing statements.

Cal. Rules of Court, rule 2.550 provides that court records are presumed to be open (Id., subd. (c)) and that a court may seal a record only where:

(1) There exists an overriding interest that overcomes the right of public access to the record;

(2) The overriding interest supports sealing the record;

(3) A substantial probability exists that the overriding interest will be prejudiced if the record is not sealed;

(4) The proposed sealing is narrowly tailored; and

(5) No less restrictive means exist to achieve the overriding interest.

(Cal. Rules of Court, rule 2.550(d).)

As to the first

category of proposed sealing, J-M contends that there is an overriding interest supporting sealing in that the settlements were agreed to remain confidential, the terms of the settlement could be “misconstrued by a party in an unrelated matter and the interests of parties that are not subject to this litigation could be negatively impacted[.]” and communications between insured and insurer have been recognized as confidential and even privileged. The third contention is sufficient to carry the day on these issues. While

ordinarily a law enacted for a public purpose (such as the presumption of openness of court records) cannot be contravened by private agreement, the Court agrees that the factual setting here, including that Formosa was HDI's

insured, supports sealing the details of the settlement agreement. The insurer's and insured's interests in privacy and the confidentiality of their relationship override the public interest in accessing court records, and these private interests will be prejudiced if the records are not sealed.

The proposed sealing is sufficiently narrow, and no less restrictive means exists to achieve the interest in privacy.

Next, J-M seeks

to seal paragraphs of the declaration of Paul Chan, its counsel in the Nevada Action, pertaining to work done in the Nevada Action which was gleaned from privileged attorney-client information in billing records. "Billing entries or portions of invoices that describe the work performed for a client" have been held to fall "directly in the 'heartland'" protected by the attorney-client privilege. (County of Los Angeles Board of Supervisors v. Superior Court (ACLU) (2017) 12 Cal.App.5th 1264, 1275.) There is therefore an interest in privacy here which overrides the public right of access to court records and which will be prejudiced if the sealing is not granted. The proposed sealing is narrowly tailored and the least restrictive means of achieving privacy of the information. The Court will therefore grant the motion to seal.

The Court notes

that although the information in question originates in J-M's exhibits and the declaration of Mr. Chan, the parties have filed numerous other redacted documents which are not referenced in the motion. The parties are to meet and confer on these documents and, assuming they are all subject to redaction because they pertain to the HDI-Formosa settlement agreement or J-M's counsel's billing records, the parties are to submit an amended order granting the motion and sealing those portions of those documents as well. If the documents are to be redacted for other reasons, the parties are to report back what is to be done with those documents, or else they will need to be placed in the public file.

EVIDENTIARY OBJECTIONS

J-M objects in both motions to certain portions of the declaration of HDI's counsel Kristian Moriarty. These objections are not material to the disposition of the motions but are preserved for review. (Code Civ. Proc. § 437c(q).)

CONCLUSION

For the foregoing reasons, J-M's motion for summary adjudication is GRANTED IN PART as to the existence of a duty to defend the Nevada Action (issues 1-2) and DENIED as to summary adjudication of the Fifth Cause of Action for Bad Faith (issue 3).

HDI's motion is DENIED in its entirety.

J-M to submit an order in accordance with this ruling and to give notice.

J-M's motion to seal is GRANTED. The parties are to meet and confer as to what redacted documents are subject to the motion and submit an amended order that applies to those documents, and are to report back on whether any documents need to be sealed which do not come within J-M's motion. The Court will discuss this with the parties at the hearing and likely set a non-appearance date for review of the parties' report on the sealing.